

DUE DILIGENCE ISSUES REPORT

[Project Name]

[Date]

Dear [Client]

This report (the “**Report**”) has been prepared by [DealDiligence.ai](#), P.C. (“**Firm**”) exclusively for [Client, Inc.], a [State] [Corporation] (“**Client**”), in connection with its proposed acquisition[, through its wholly-owned subsidiary [Acquirer, Inc.], a [[State] Corporation],] (“**Acquirer**”) of all of the issued and outstanding capital stock of [Target, Inc.], a [[State] Corporation] (“**Target**”). This Report is for the exclusive use of Client in connection with Acquirer’s proposed acquisition of Target (the “**Acquisition**”) and may not be used or relied upon for any reason by any other person or party.

In consultation with Client, we have limited our review to information made available by Target and its advisers in a virtual data room through [Date Of Review] and [Describe Non-Data Room Material Reviewed, Such As “information in certain lien and judgement searches identified herein”] (collectively, the “**Materials**”).

As requested by Client, this Report does not provide a summary of all information that we have reviewed in the context of the Acquisition. Rather, this Report highlights legal issues we identified

during our review of the Materials and our judgment and analysis of the proposed method to remedy or address such issues.

Specifically, our review has been focused on [List Areas]. We specifically excluded from our review the following areas, which Client has advised us will be reviewed by other advisers, [(1) List Areas]. [Include Any Other Exclusions Or Limitation Of The Report]. [Describe Any Areas From The Chart That Should Be (Or Will Be) Examined By Specialists Or Completed By Specialists, And Identify All Such Specialists, Such As Financial Or Tax Advisors, Intellectual Property Specialists, Or Regulatory Experts (E.G. Antitrust Experts, Environmental Law Experts)].

We conducted our review in light of applicable U.S. federal, state, [and municipal] laws, which include the laws of the [States/Commonwealths] [and [Insert Municipal Laws]]. [Additionally, we reviewed certain Materials with respect to [Insert Specific Non-U.S. Or International Jurisdictions], as specifically noted in our Report.]

As previously discussed and agreed to with Client, for review of [certain of] the Materials, we have relied upon [Name Of Virtual Data Room Platform] [and [Name Of Other Due Diligence Review Technology]].

We recommend that Client review certain issues further, as noted below in the fourth column of our Report.

For more information on the contents of this Report, please contact the undersigned.

Kind regards,

[Lawyer] for

[Law Firm]

Topic	Legal Issues/Discussion Items	Next Steps/Action Items	Supplemental Diligence Requests
Corporate Formation and Charter Documents			
Stock Certificates , Ledgers			

Corporate Records, Meeting Minutes, Written Consents, and Other Authorizing Resolutions			
Officers and Directors, Elections of Same			
Managemen t Structure, Shareholders			

Agreement s			
Financial Records			
Tax Matters [Reviewed by [Name of Firm]]			
Loans/Debt Obligations	[List The Target's Debt Obligations And Any Assets Used to Secure The Debt Obligation.]		

	[List Or Describe Any Covenants In The Target's Existing Financing That May Limit Or Prohibit The Ability To Close The Acquisition.]		
COVID-19 Impacts, PPP Loans and Loan Forgiveness			
Real Property			

Leased Property			
Equipment Leases			
Personal Property			

Intellectual Property			
Material Contracts (including Subcontract ts, Key Customers, Vendors, and Suppliers)	[Identify All Contracts That Include Change Of Control Provisions.]		
Governmen t Contracts			

(if applicable)			
Litigation, Pending or Threatened			
Lien and Judgement Searches	[Identify All Jurisdictions In Which Lien And Judgment Searches Were Run, Which Should Include All Jurisdictions In Which The Target Does Business Or Has Employees.]		

Regulatory Matters, Audits, and Investigations			
Employees (full and part-time), Independent Contractors , and Consultants			
Employee Handbooks			

, Manuals, and other Employment Policies			
Employee Benefits, Labor, and Other Employee Matters			
Employment Litigation, Pending or Threatened			

Environmental Matters			
Data Privacy and Security Issues, Cybersecurity Policies and Procedures, and Data Privacy or Cybersecurity Incidents			

Other Issues/Red Flags			

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